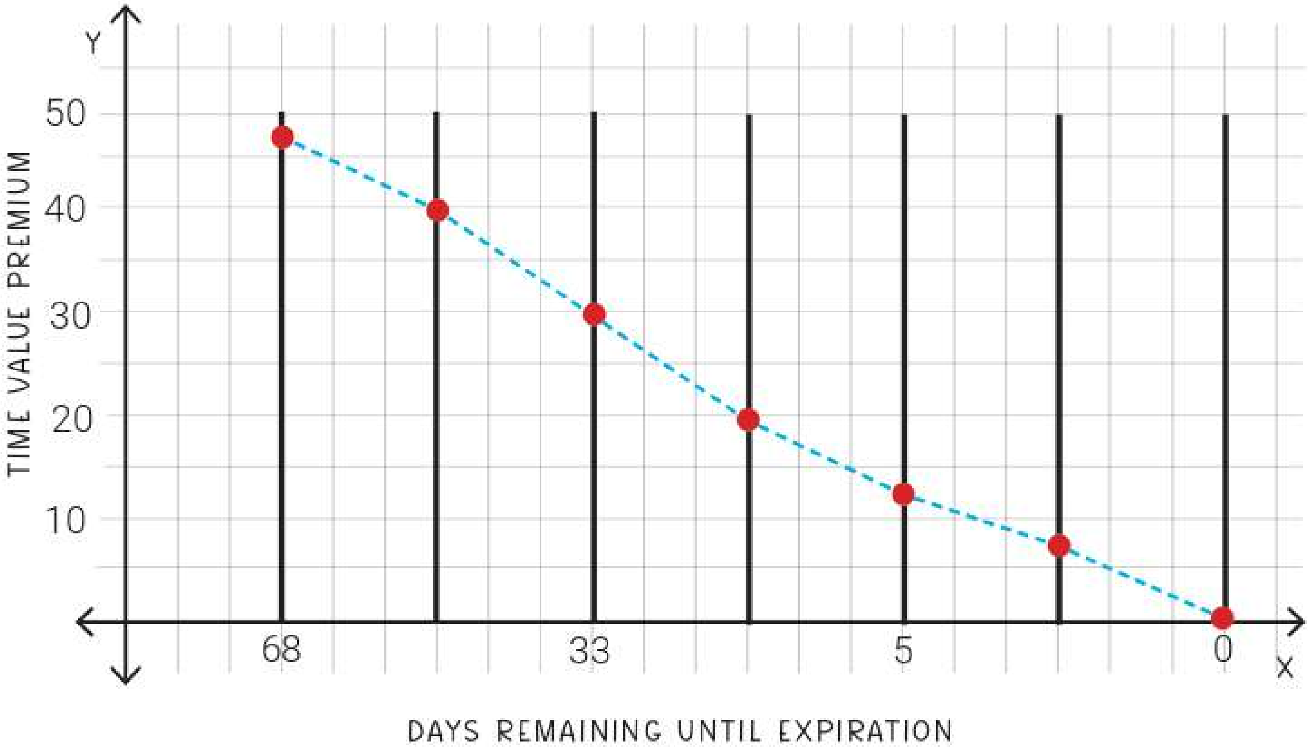

We mainly profit from a decreasing volatility or with time decay i.e., due to passage of time. As time passes, the risk of large moves starts to decrease and as a result, the price of the premium also starts to decrease.

This strategy is called Bull Butterfly or Long Call Butterfly. We'll be discussing Long Call Butterfly with an example shortly. **The net premium here will be an outflow. In this strategy we have a limited loss and a limited profit scenario. This means we have defined risk and rewards.**

MAXIMUM PROFIT

= DIFFERENCE FROM MIDDLE STRIKE PRICE TO LOWER STRIKE PRICE – NET PREMIUM PAID

MAXIMUM LOSS

= NET PREMIUM COST

BREAKEVEN:

UPSIDE = HIGHER STRIKE PRICE - NET PREMIUM
DOWNSIDE = LOWER STRIKE PRICE + NET PREMIUM